



PHOTO BY MANDAR DEODHAR

“For OTT, there is a total paid subscriber base of 50 million and another 300 million that are driven by advertising. On a compounded basis, it can grow by 30 per cent over the next five years”

K. MADHAVAN
Country Manager and
President, Disney Star

Hotstar's subscriber numbers in India are at least 2x more than its nearest competitor, Amazon Prime Video. “None of the OTT players contributes as much to the parent's subscriber base the way Hotstar does,” says Kapoor. Specifically getting to cricket, he is clear about how “the sport has been good for the network and one will be surprised if they lose the IPL bid”. Besides, Hotstar, on its own, may bring forth other advantages. “The Disney content library is great and global, plus its distribution pipes cut across digital and traditional avenues. There is the opportunity too of Indian content being distributed across geographies and that puts Hotstar in a strong position against pure-play digital content players,” says Shantanu Sirohi, Co-founder &

COO, Interactive Avenues, India's largest digital agency.

“For Disney, [whether it makes] revenues of ₹1,700 crore or [makes] losses is insignificant in the context of how much it drives valuation. Investors look at the subscriber base of Disney+ and how it is now a serious rival to Netflix in terms of that,” says the former Hotstar executive. Nayar says there is a clear change in business models. “Traditional television is declining and bids like the IPL are no longer about driving revenue from advertising and subscription,” he explains. The focus of Hotstar as well as bidders like Jio and Amazon, he says, would be to build digital assets, leading to an increase in shareholder value. “This would be the primary reason to see aggression levels this year

that we haven't seen before. The focus here is subscriber growth and that is why Hotstar is seen as a success in India despite much lower ARPU than Netflix.”

The OTT subscription model is a segment Madhavan is bullish about. “We can't set a timeline but the 50-million number in India will definitely touch 500 million. Cheap access to data coupled with the 5G roll-out can change everything,” he says. Given how obsessed Wall Street is with the paid subscriber model, Disney will want a very generous chunk of the pie. With his financial acumen, it is unlikely Madhavan will take his eyes off the numbers, rather Hotstar, even for a moment. **BT**

@krishnagopalan